

Granules Pharmaceuticals Inc.**Balance Sheet as at March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

Particulars	Notes	As at March 31, 2024	As at March 31, 2023
Assets			
Non-current assets			
Property, plant and equipment	3A	2,929.50	2,875.41
Capital work-in-progress	3B	44.59	93.85
Other intangible assets	3C	1,905.61	2,180.85
Intangible assets under development	3D	107.65	103.57
Financial assets			
(i) Investments	4A	206.84	203.79
Income tax assets(net)		157.59	-
Other non-current assets	5A	51.18	5.42
Total non-current assets		5,402.96	5,462.89
Current assets			
Inventories	4E	6,869.67	5,104.77
Financial assets			
(i) Trade receivables	4B	1,455.26	645.17
(ii) Cash and cash equivalents	4C	1,031.53	773.63
(iii) Others financial assets	4D	11.59	60.14
Other current assets	5B	212.97	65.89
Total current assets		9,581.02	6,649.60
Total assets		14,983.98	12,112.49
Equity and liabilities			
Equity			
Equity share capital	6	0.28	0.28
Other equity	7	8,619.97	7,910.58
Total equity		8,620.25	7,910.86
Liabilities			
Non-current liabilities			
Deferred tax liabilities (net)	18	313.53	251.68
Total non-current liabilities		313.53	251.68
Current liabilities			
Financial liabilities			
(i) Borrowings	8A	250.15	246.34
(ii) Trade payables	8A	5,569.04	3,518.34
(iii) Other financial liabilities	8B	227.27	171.57
Other current liabilities	9	3.74	3.56
Current tax liabilities		-	10.14
Total current liabilities		6,050.20	3,949.95
Total equity and liabilities		14,983.98	12,112.49
Material accounting policies	2		
The accompanying notes are an integral part of the Financial Statements			

Granules Pharmaceuticals Inc.**Statement of Profit and Loss for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

Particulars	Notes	For the year ended March 31, 2024	For the year ended March 31, 2023
Income			
Revenue from operations	10	16,203.76	11,206.59
Other income	11	3.43	4.10
Total income		16,207.19	11,210.69
Expenses			
Cost of materials consumed	12	12,142.66	8,097.80
Changes in inventory of work-in-progress and finished goods	13	(1,899.28)	(657.72)
Employee benefit expenses	14	1,496.87	1,155.90
Depreciation and Amortisation	15	497.00	395.35
Finance costs	16	229.60	159.64
Other expenses	17	2,956.66	1,835.84
Total expenses		15,423.51	10,986.81
Profit before tax		783.68	223.88
Tax expense			
(i) Current tax	18	135.83	40.58
(ii) Deferred tax charge	18	57.96	31.78
Tax expense		193.79	72.36
Profit for the year		589.89	151.52
Other comprehensive income (OCI)			
Items that will be reclassified to profit or loss			
Gain arising on translation of foreign operations	19	119.50	593.83
Income tax relating to items that will be reclassified to profit or loss		-	-
Other comprehensive income for the year		119.50	593.83
Total comprehensive income for the year		709.39	745.35
Earnings per share:			
Equity shares of par value of USD 1 each	20		
Basic EPS		1,41,122.01	36,248.80
Diluted EPS		1,38,406.85	35,551.38
Material accounting policies	2		
The accompanying notes are an integral part of these Financial Statements			

Granules Pharmaceuticals Inc.**Statement of Changes in Equity for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

Equity share capital

Particulars	Balance at the beginning of the year	Shares issued during the year	Balance at the end of the year
March 31, 2024	0.28	-	0.28
March 31, 2023	0.28	-	0.28

Other Equity

Particulars	Reserves and surplus			Other Comprehensive Income	Total other Equity
	Securities Premium	Employee Stock Option Outstanding	Retained Earnings	Foreign currency translation reserve	
Balance at the beginning of the previous year	5,650.05	44.83	968.43	505.79	7,169.10
Securities Premium	(4.96)	-	-	-	(4.96)
Employee Stock Option Outstanding	-	1.09	-	-	1.09
Profit or (loss) for the year	-	-	151.52	-	151.52
Other comprehensive income (net of tax)	-	-	-	593.83	593.83
Balance at the end of the previous year	5,645.09	45.92	1,119.95	1,099.62	7,910.58
Securities Premium	-	-	-	-	-
Employee Stock Option Outstanding	-	-	-	-	-
Profit or (loss) for the year	-	-	589.89	-	589.89
Other comprehensive income (net of tax)	-	-	-	119.50	119.50
Balance at the end of the current year	5,645.09	45.92	1,709.84	1,219.12	8,619.97

The accompanying notes are an integral part of these Financial Statements

Granules Pharmaceuticals Inc.**Statement of Cash Flow for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Cash flow from operating activities		
Net profit before tax	783.68	223.88
Adjustments for:		
Depreciation and amortisation	497.00	395.35
Loss/(Profit) on sale of property, plant and equipment (net)	-	(0.12)
Share based payment expense	-	1.09
Finance cost	229.60	159.64
Interest income	(0.01)	(3.98)
Operating profit before working capital changes	1,510.27	775.86
Movements in working capital:		
(Increase)/decrease in trade receivables	(798.85)	732.64
Increase in inventories	(1,685.17)	(833.66)
Increase in other financial and non financial assets	(96.44)	(25.97)
Increase/(decrease) in trade payables and other financial & non financial liabilities	2,047.22	(146.86)
Cash generated from operations	977.03	502.01
Direct taxes paid (net of refunds)	(303.35)	(6.60)
Net cash flow generated in operating activities (A)	673.68	495.41
Cash flow (used in)/ from investing activities		
Purchase of property, plant and equipment and intangible assets, including capital work-in-progress, intangible assets under development, capital advances and capital creditors	(200.76)	(114.96)
Proceeds from sale of property, plant & equipment	-	0.12
Loans recovered	-	108.01
Interest received	0.01	11.54
Net cash flow (used in)/from investing activities (B)	(200.75)	4.71
Cash flow (used in)/ from financing activities		
Buy back of shares	-	(4.96)
Proceeds from current borrowings	-	240.91
Finance cost paid	(229.47)	(159.64)
Net cash flow (used in)/ from financing activities (C)	(229.47)	76.31
Net increase in cash and cash equivalents (A) + (B) + (C)	243.46	576.43
Cash and cash equivalents at the beginning of the year	773.63	166.29
Exchange differences on translation of foreign operations	14.44	30.91
Cash and cash equivalents at the end of the year	1,031.53	773.63
Components of cash and cash equivalents:		
Balances with banks		
In current accounts	1,031.53	773.63
Total cash and cash equivalents (Refer note 4 C)	1,031.53	773.63

Granules Pharmaceuticals Inc.**Statement of Cash Flow for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

Changes in liabilities arising from financing activities	Borrowings - Current (Refer note 8A)
Balance as on March 31, 2022	-
Proceeds from borrowing during the year	240.91
Finance cost	159.64
Finance cost paid	(159.64)
Effect of changes in foreign exchange rates	5.43
Balance as on March 31, 2023	246.34
Finance cost	229.60
Finance cost paid	(229.47)
Effect of changes in foreign exchange rates	3.68
Balance as on March 31, 2024	250.15

The above statement of cash flow has been prepared under the “Indirect Method” as set out in the Indian Accounting Standard (Ind AS-7) - "Statement of Cash Flows".

The accompanying notes are an integral part of these Financial Statements

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

1. Company overview**1.1 Reporting entity**

Granules Pharmaceuticals Inc. ("GPI" or "the Company") is a Company domiciled in United States of America (USA). The company has been incorporated on October 20, 2014 in Delaware, USA. The company is wholly owned subsidiary of Granules India Limited ("GIL" or "Parent"), a Company incorporated in India. The Company is primarily involved in research & development, manufacturing and selling of finished dosages.

1.2 Basis of preparation of Financial Statements**a) Statement of compliance**

The Financial Statements have been prepared in conformity with Indian Accounting Standards (Ind AS) as per the Companies (Indian Accounting Standards) Rules, 2015 notified under Section 133 of Companies Act, 2013 (the 'Act').

These Financial Statements have been prepared for the Company as a going concern on the basis of relevant Ind AS that are effective at the Company's annual reporting date, March 31, 2024. These Financial Statements were authorised for issuance by the Company's Board of Directors on May 14, 2024.

The Financial Statements are presented in INR and all values are rounded to the nearest millions, except when otherwise indicated.

Details of the Company's material accounting policies are included in Note 2.

b) Current versus non-current classification

All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified 12 months as its operating cycle.

c) Functional and presentation currency

The currency of the primary economic environment in which the Company generates and expends Cash is U.S. Dollar (USD). Hence, the functional currency of the Company is determined as USD. These Financial Statements are presented in Indian rupees (INR), which is also the functional currency of the parent. The assets and liabilities of the Company are translated into INR, at the rate of exchange prevailing at the balance sheet date. Revenues and expenses are translated into INR at average exchange rates prevailing during the year. Resulting translation adjustment is included in Foreign Currency Translation Reserve (FCTR). All amounts have been rounded-off to the nearest millions, unless otherwise indicated.

d) Basis of measurement

These Financial Statements have been prepared on the historical cost basis, except for the following items:

- Certain financial assets and liabilities are measured at fair value or amortised cost.
- Share-based payments are measured at fair value

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

e) Use of estimates and judgements

The preparation of the Financial Statements in conformity with Ind AS requires management to make estimates, judgements and assumptions. These estimates, judgements and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the Financial Statements and reported amounts of revenues and expenses during the period. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the Financial Statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the Financial Statements.

Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the Financial Statements is included in the following notes:

- Note 1.2(c) - Assessment of functional currency.
- Note 2(a) - Financial instruments.
- Note 18 - Provision for income taxes, duties/tax contingencies and Evaluation of Recoverability of deferred tax assets.

Assumptions and estimation of uncertainties

Information about assumptions and estimation of uncertainties that have a significant risk of resulting in a material adjustment in the year ending March 31, 2024 is included in the following notes:

- Note 2(d) - Useful lives of property, plant and equipment.
- Note 2(e) - Useful lives of Intangible assets.
- Note 2(h)(ii) - Measurement of recoverable amount of cash generated units; impairment of tangible and intangible assets.
- Note 4E – Provision for inventories.
- Note 23 - Share based payments.

f) Measurement of fair values

Accounting policies and disclosures require measurement of fair value for both financial and non-financial assets. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that the market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The principal or the most advantageous market must be accessible by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that the market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 23 – share based payment
- Note 2(a) – financial instruments

2. Material accounting policies**a) Financial instruments**

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

i. Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Company becomes a party to the contractual provisions of the instrument.

Financial assets and liabilities are initially measured at fair values except for trade receivable which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial assets or financial liability.

ii. Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified and, measured at

- amortised cost;
- Fair value through other comprehensive income ('FVOCI') – debt investment;
- FVOCI – equity investment; or
- Fair value through profit and loss ('FVTPL')

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Company changes its business model for managing financial assets.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category is the most relevant to the Company. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the profit or loss. The losses arising from impairment are recognised in the profit or loss.

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI (designated as FVOCI – equity investment). This election is made on an investment- by- investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets: subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in statement of profit and loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in statement of profit and loss. Any gain or loss on derecognition is recognised in statement of profit and loss."
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income under the effective interest method, foreign exchange gains and losses and impairment are recognised in statement of profit and loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to statement of profit and loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in statement of profit and loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are not reclassified to statement of profit and loss.

Financial liabilities: classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held for-trading, or it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in statement of profit and loss. Financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in statement of profit and loss. Any gain or loss on derecognition is also recognised in statement of profit and loss.

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

iii. Derecognition**Financial assets**

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and does not retain control of the financial asset.

If the Company enters into transactions whereby it transfers assets recognised on its balance sheet, but retains either all or substantially all of the risks and rewards of the transferred assets, the transferred assets are not derecognised.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

The Company also derecognises a financial liability when its terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in statement of profit and loss.

iv. Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the balance sheet when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

b) Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks which are subject to an insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management. Cash and cash equivalents includes balances with banks which are unrestricted for withdrawal and usage.

c) Foreign currency

Transactions in foreign currencies are initially recorded at spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the spot rates of exchange at the reporting date.

Transactions in foreign currency are translated at the exchange rates prevailing on the date of the transactions. Monetary assets and liabilities denominated in foreign currency are restated at the prevailing year end rates. The resultant gain/loss upon such restatement along with the gain/loss on account of foreign currency transactions are accounted in the Statement of Profit and Loss, except exchange differences arising from the translation of the qualifying cash flow hedges to the extent that the hedges are effective which are recognised in OCI.

d) Property, plant and equipment**i. Recognition and measurement**

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost of an item or property, plant and equipment comprises its purchase price, import duties and non-refundable taxes, after deducting trade discounts and rebates, any directly attributable cost of bringing the item to its working condition for its intended use and estimated costs of dismantling and removing the item and restoring the site on which it is located. Such cost includes the cost of replacing part of the plant and equipment and borrowing costs

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

for long-term construction projects if the recognition criteria are met. When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. All other repair and maintenance costs are recognised in the statement of profit and loss as incurred.

The cost of a self-constructed item of property, plant and equipment comprises the cost of materials and direct labour, any other costs directly attributable to bringing the item to its working condition for its intended use, and estimated costs of dismantling and removing the item and restoring the site on which it is located.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment.

Any gain or loss on disposal of an item of property plant and equipment is recognised in statement of profit and loss.

Cost of assets not ready for intended use, as on the balance sheet date, is shown as capital work-in-progress. Amounts paid towards the acquisition of property, plant and equipment outstanding as of each reporting date are recognised as capital advance under “non-current assets”.

ii. Subsequent expenditure

Subsequent expenditure related to an item of property, plant and equipment is capitalised only if it increases the future benefits from the existing assets beyond its previously assessed standards of performance.

iii. Depreciation

Depreciation is calculated on cost of items of property, plant and equipment less their estimated residual values over their estimated useful lives using the straight-line method.

The Company, based on technical assessment made by technical expert and management estimate, depreciates certain items of plant and equipment over estimated useful lives which are different from the useful life prescribed in Schedule II to the Companies Act, 2013. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used.

Depreciation method, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

Depreciation on additions (disposals) is provided on a pro-rata basis i.e. from (upto) the date on which asset is ready for use (disposed off).

e) Intangible assets**Internally generated: Research and development**

Expenditure on research activities is recognised in statement of profit and loss as incurred.

Development expenditure is capitalised as part of the cost of the resulting intangible asset only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Company intends to and has sufficient resources to complete development and to use or sell the asset. Otherwise, it is recognised in statement of profit and loss as incurred. Subsequent to initial recognition, the asset is measured at cost less accumulated amortisation and any accumulated impairment losses.

Others

Other intangible assets are initially measured at cost. Subsequently, such intangible assets are measured at cost less accumulated amortization and any accumulated impairment losses.

i. Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

ii. Amortisation

Other intangible assets are amortised on a straight line basis over the estimated useful life as follows:

Computer software	3 years
Marketing rights	15 years
Product related intangibles	8 years
Others	15 years

Amortisation method, useful lives and residual values are reviewed at the end of each financial year and adjusted if appropriate.

f) Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on the monthly moving weighted average method, and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their present location and condition. In the case of manufactured inventories and work-in-progress, cost includes an appropriate share of fixed production overheads based on normal operating capacity.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses. The net realisable value of work-in-progress is determined with reference to the selling prices of related finished products.

Raw materials, components and other supplies held for use in the production of finished products are not written down below cost except in cases where material prices have declined and it is estimated that the cost of the finished products will exceed their net realisable value.

The comparison of cost and net realisable value is made on an item-by-item basis.

The factors that the Company considers in determining the allowance for slow moving, obsolete and other non-saleable inventory include estimated shelf life, planned product discontinuances, price changes, ageing of inventory and introduction of competitive new products, to the extent each of these factors impact the Company's business and markets. The Company considers all these factors and adjusts the inventory provision to reflect its actual experience on a periodic basis.

g) Impairment**i. Financial assets (other than at fair value)**

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. In determining the allowances for doubtful trade receivables, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than the 270 days over and above the usual credit period.

The Company considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held).

Evidence that a financial asset is credit impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being past due over a reasonable period of credit

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation;

In case of investments, the Company reviews its carrying value of investments carried at cost annually, or more frequently, when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for.

ii. Tangible and intangible assets

Property, plant and equipment and intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

h) Employee Benefits**i. Short-term employee benefits**

Employee benefits payable wholly within twelve months of receiving employee services are classified as short-term employee benefits. These benefits include salaries and wages, bonus and ex-gratia. The undiscounted amount of short-term employee benefits to be paid in exchange for employee services is recognised as an expense as the related service is rendered by employees.

ii. Share based compensation

The grant date fair value of options granted to employees is recognised as employee expense, with a corresponding increase in equity, over the period that the employees become unconditionally entitled to the options. The expense is recorded for each separately vesting portion of the award. The increase in equity recognised in connection with share-based payment transaction is presented as a separate component in equity under "employee stock option". The amount recognised as an expense is adjusted to reflect the actual number of stock options that vest.

i) Provisions (other than for employee benefits)

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows (representing the best estimate of the expenditure required to settle the present obligation at the balance sheet date) at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost. Expected future operating losses are not provided for.

Contingent liabilities and contingent assets

A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. Where there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

Contingent assets are not recognised in the Financial Statements. A contingent asset is disclosed where an inflow of economic benefits is probable. Contingent assets are assessed continually and, if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

Granules Pharmaceuticals Inc.

Notes to Financial Statements

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Onerous contracts

A contract is considered to be onerous when the expected economic benefits to be derived by the Company from the contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision for an onerous contract is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before such a provision is made, the Company recognises any impairment loss on the assets associated with that contract.

j) Earnings per share ('EPS')

The earnings considered in ascertaining the Company's Earnings Per Share (EPS) comprise net profit after tax. The number of shares used in computing basic EPS is the weighted average number of shares outstanding during the year. Dilutive potential equity shares are deemed to be converted as of the beginning of the year, unless they have been issued at a later date. The number of shares used for computing the diluted EPS is the weighted average number of shares outstanding during the year after considering the dilutive potential equity shares.

k) Segment Reporting

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other components, and for which discrete financial information is available. Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Chairperson of the Company is responsible for allocating resources and assessing performance of the operating segments and accordingly is identified as the Chief Operating Decision Maker (CODM). All operating segments' operating results are reviewed regularly by the CODM to make decisions about resources to be allocated to the segments and assess their performance.

The Company operates in one reportable business segment i.e. "Pharmaceuticals".

l) Revenue**i. Sale of goods**

Revenue from sale of goods is recognised when a promise in a customer contract (performance obligation) has been satisfied by transferring control over the promised goods to the customer. Control is usually transferred upon shipment, delivery to, upon receipt of goods by the customer, in accordance with the delivery and acceptance terms agreed with the customers. The amount of revenue to be recognised is based on the consideration expected to be received in exchange for goods, excluding applicable discounts, sales returns and any taxes or duties collected on behalf of the government which are levied on sales. Any additional amounts based on terms of agreement entered into with customers, is recognised in the period when the collectability becomes probable and a reliable measure of the same is available.

ii. Sales return allowances

The Company accounts for sales return by recording an allowance for sales return concurrent with the recognition of revenue at the time of a product sale. The allowance is based on Company's estimate of expected sales returns. The estimate of sales return is determined primarily by the Company's historical experience in the markets in which the Company operates.

iii. Interest income or expense

Interest income or expense is recognised using the effective interest method on time proportion basis.

m) Contract Balances**i. Contract assets**

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional.

Granules Pharmaceuticals Inc.**Notes to Financial Statements**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

ii. Trade receivable

A receivable is recognised if an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in section (a) Financial instruments – initial recognition and subsequent measurement.

n) Income tax

Income tax comprises current and deferred income tax. Income tax expense is recognised in statement of profit and loss or in other comprehensive income.

i. Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. Current tax for current year and prior periods is recognised at the amount expected to be paid or recovered from the tax authorities, using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Current tax assets and current tax liabilities are offset only if there is a legally enforceable right to set off the recognised amounts and it is intended to realise the asset and settle the liability on a net basis or simultaneously.

ii. Deferred tax

Deferred income tax assets and liabilities are recognised for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the Financial Statements.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred income tax assets and liabilities are measured using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled.

The effect of changes in tax rates on deferred income tax assets and liabilities is recognised as income or expense in the period that includes the enactment or substantive enactment date. A deferred income tax assets is recognised to the extent it is probable that future taxable income will be available against which the deductible temporary timing differences and tax losses can be utilised.

Deferred tax assets and deferred tax liabilities are offset only if there is a legally enforceable right to set off the recognised amounts and it is intended to realise the asset and settle the liability on a net basis or simultaneously.

o) Borrowing cost

Borrowing costs are interest and other costs incurred in connection with the borrowing of funds. Borrowing costs directly attributable to acquisition or construction of an asset which necessarily take a substantial period of time to get ready for their intended use are capitalised as part of the cost of that asset. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs. Other borrowing costs are recognised as an expense in the period in which they are incurred.

Granules Pharmaceuticals Inc.
Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

3A. Property, Plant and Equipment - Reconciliation of carrying amount

Particulars	Freehold land	Freehold buildings	Plant and machinery	Computers	Office equipment	R&D Equipment	Furniture and fittings	Vehicles	Total
Gross carrying amount									
At March 31, 2022	198.03	893.85	761.16	39.09	0.25	10.24	16.63	3.60	1,922.85
Additions	-	639.60	729.41	5.88	15.01	2.59	2.18	-	1,394.67
Disposals	-	-	-	-	-	-	-	(0.48)	(0.48)
Exchange differences	16.21	72.48	61.52	3.19	0.00	0.84	1.36	0.30	155.89
At March 31, 2023	214.24	1,605.93	1,552.09	48.16	15.26	13.67	20.16	3.42	3,472.92
Additions	-	11.03	178.37	5.15	-	2.14	3.33	-	200.02
Disposals	-	-	-	-	-	-	-	-	-
Exchange differences	3.20	24.06	23.88	0.74	0.23	0.21	0.31	0.05	52.68
At March 31, 2024	217.43	1,641.02	1,754.33	54.05	15.49	16.02	23.81	3.47	3,725.62
Accumulated Depreciation									
At March 31, 2022	-	154.67	259.34	15.00	0.25	6.01	5.99	2.85	444.10
Depreciation for the year	-	41.48	63.37	6.56	1.52	0.49	1.71	0.29	737.19
Exchange differences	-	13.35	22.46	1.37	0.02	0.50	0.53	(0.24)	37.99
At March 31, 2023	-	209.49	345.17	22.93	1.79	7.00	8.23	2.90	597.51
Depreciation for the year	-	45.11	129.82	6.78	3.03	1.59	1.77	0.33	188.43
Exchange differences	-	3.45	5.99	0.39	0.05	0.11	0.14	0.05	10.18
At March 31, 2024	-	258.05	480.98	30.11	4.86	8.70	10.14	3.28	796.12
Net carrying amount									
At March 31, 2023	214.24	1,396.43	1,206.92	25.23	13.47	6.67	11.93	0.51	2,875.41
At March 31, 2024	217.43	1,382.96	1,273.35	23.94	10.63	7.32	13.67	0.18	2,929.50

i) The Company has not revalued its property, plant and equipment during the current or previous year.

ii) For contractual commitments refer note 21.

3B. Capital work -in-Progress

At March 31, 2024	44.59
At March 31, 2023	93.85

Movement during the year	
At March 31, 2022	1,173.55
Additions	29.78
Capitalised	(1,394.67)
Exchange differences	285.19
At March 31, 2023	93.85
Additions	149.87
Capitalised	(200.02)
Exchange differences	0.88
At March 31, 2024	44.59

Ageing Schedule for Capital work -in-Progress as below

Particulars	March 31, 2024					March 31, 2023				
	Less than 1 year	1-2 years	2-3 years	>3 years	Total	Less than 1 year	1-2 years	2-3 years	>3 years	Total
Projects in Progress	23.29	18.88	2.42	-	44.59	42.46	42.43	4.16	4.80	93.85
Total	23.29	18.88	2.42	-	44.59	42.46	42.43	4.16	4.80	93.85

i) Projects in progress are neither overdue nor exceeds its cost when compared to its original plan during the current or previous year.

ii) For contractual commitments refer note 21.

Granules Pharmaceuticals Inc.

Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

3C. Intangible assets - Reconciliation of carrying amount

Particulars	Software	Marketing Rights	Others	Developed product intangibles	Total
Gross carrying amount					
At March 31, 2022	8.13	49.34	1,547.52	1,491.32	3,096.30
Additions	11.21	24.66	-	155.06	190.93
Exchange differences	0.65	4.01	126.65	121.88	253.19
At March 31, 2023	19.98	78.00	1,674.17	1,768.26	3,540.41
Additions	2.84	-	-	-	2.84
Exchange differences	0.31	1.17	25.04	26.42	52.94
At March 31, 2024	23.13	79.17	1,699.21	1,794.68	3,596.19
Accumulated amortisation					
At March 31, 2022	8.09	49.34	412.95	521.80	992.18
Amortisation for the year	0.40	1.22	109.17	169.15	279.93
Exchange differences	0.68	4.05	36.24	46.48	87.45
At March 31, 2023	9.17	54.61	558.36	737.43	1,359.56
Amortisation for the year	3.47	0.37	112.51	192.23	308.58
Exchange differences	0.16	0.82	9.12	12.34	22.44
At March 31, 2024	12.80	55.79	679.99	942.00	1,690.58
Net carrying amount					
At March 31, 2023	10.81	23.40	1,115.81	1,030.83	2,180.85
At March 31, 2024	10.33	23.38	1,019.22	852.68	1,905.61

i) The Company has not revalued its intangible assets during the current or previous year.

3D. Intangibles under development

At March 31, 2022	269.51
Additions	20.75
Written off	(29.72)
Capitalised	(190.93)
Exchange differences	33.96
At March 31, 2023	103.57
Additions	5.38
Written off	-
Capitalised	(2.85)
Exchange differences	1.55
At March 31, 2024	107.65

Ageing Schedule for Intangible under development as below

Particulars	March 31, 2024					March 31, 2023				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in Progress	1.75	15.04	2.23	88.63	107.65	14.05	2.20	-	87.32	103.57
Total	1.75	15.04	2.23	88.63	107.65	14.05	2.20	-	87.32	103.57

i) Projects in progress are neither overdue nor exceeds its cost when compared to its original plan during the current or previous year.

Granules Pharmaceuticals Inc.
Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

4. Financial Assets
4A. Investments - Non-current

Particulars	March 31, 2024	March 31, 2023
<i>In Unquoted equity shares - Others (Fair Value through OCI)</i>		
In US Pharma Limited - 410.52 (March 31, 2023: 410.52 equity shares)	206.84	203.79
Total	206.84	203.79

4B. Trade receivables

Particulars	March 31, 2024	March 31, 2023
Unsecured, considered good	1,455.26	645.17
Total	1,455.26	645.17

Trade receivables are non-interest bearing and are generally on terms of less than 1 year.

The Company's exposure to credit and currency risks, and loss allowances related to trade receivables are disclosed in Note 25.

Ageing Schedule for Trade receivables as below
As at March 31, 2024

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	< 6 months	6 months -1 year	1-2 Years	2-3 years	> 3 years	
(i) Undisputed Trade receivables - considered good	1,162.17	213.67	27.41	-	-	-	1,403.25
(ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	31.33	4.28	16.34	0.06	52.01
(iii) Undisputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables - considered good	-	-	-	-	-	-	-
(v) Disputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
Total	1,162.17	213.67	58.74	4.28	16.34	0.06	1,455.26

As at March 31, 2023

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	< 6 months	6 months -1 year	1-2 Years	2-3 years	> 3 years	
(i) Undisputed Trade receivables - considered good	401.13	208.89	3.84	-	-	-	613.86
(ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	12.08	6.32	4.84	8.07	31.31
(iii) Undisputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables - considered good	-	-	-	-	-	-	-
(v) Disputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
Total	401.13	208.89	15.92	6.32	4.84	8.07	645.17

4C. Cash and cash equivalents

Particulars	March 31, 2024	March 31, 2023
Balance with banks:		
In current accounts	1,031.53	773.63
Total	1,031.53	773.63

4D. Other financial assets - Current

Particulars	March 31, 2024	March 31, 2023
Balance recoverable from bank	-	59.98
Security deposit	0.17	0.16
Other receivables	11.42	-
Total	11.59	60.14

The Company's exposure to currency risks are disclosed in note 25

4E. Inventories (at lower of cost or net realisable value)

Particulars	March 31, 2024	March 31, 2023
Raw materials	780.91	930.55
Packing materials	163.49	147.89
Work-in-Progress	301.53	561.16
Finished goods [includes finished goods-in-transit Rs. 2,330.33 millions (March 31, 2023 - Rs. 1,228.60 millions)]	5,623.74	3,464.83
Stores, spares and consumables	-	0.34
Total	6,869.67	5,104.77

The Company recorded inventory write-down of Rs. 158.94 millions (March 31, 2023 - Rs. 38.41 millions). These were recognized as an expense during the year and included in "changes in finished goods and work-in-progress in Statement of profit and loss.

5. Other assets
5A. Other non-current assets (Unsecured, considered good)

Particulars	March 31, 2024	March 31, 2023
Capital advances	51.18	5.42
Total	51.18	5.42

5B. Other current assets (Unsecured, considered good)

Particulars	March 31, 2024	March 31, 2023
Prepaid expenses	54.62	54.04

Granules Pharmaceuticals Inc.

Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

TDS receivable	5.86	5.77
Advance to material suppliers	152.49	6.08
Total	212.97	65.89

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

6. Share capital**6A Equity Share Capital**

Particulars	March 31, 2024	March 31, 2023
Authorized share capital		
10,000 equity shares of USD 1 each	0.61	0.61
	0.61	0.61
Issued, subscribed and fully paid up		
4,180 fully paid up equity shares of USD 1 each (March 31, 2023 : 4,180 equity shares of USD 1 each)	0.28	0.28
Total issued, subscribed and fully paid-up share capital	0.28	0.28

6B Reconciliation of shares outstanding

Particulars	March 31, 2024		March 31, 2023	
	No.	Rs	No.	Rs
At the beginning of the year	4,180.00	0.28	4,183.41	0.28
Add: Shares bought back	-	-	(3.41)	-0.00
Number of shares at the end of the year	4,180.00	0.28	4,180.00	0.28

6C Terms/rights attached to equity shares

1. The Company has only one class of equity shares having a par value of USD 1 per share.
2. Each holder of equity shares is entitled to one vote per share.
3. The Company has not declared any dividend during the year ended March 31, 2024 and March 31, 2023.
4. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. However, no such preferential amounts exist currently. The distribution will be in proportion to the number of equity shares held by the shareholders.

6D Details of shareholders holding more than 5% equity shares in the Company

Particulars	March 31, 2024		March 31, 2023	
	Numbers	% holding	Numbers	% holding
Granules India Limited	4,180.00	100%	4,180.00	100.00%

As per records of the Company, including its register of shareholders/members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownerships of shares.

7. Other equity**Attributable to owners:****Securities premium reserve**

Securities premium represents premium received on issue of shares. (Refer statement of changes in equity)

Retained earnings

The amount that can be distributed by the Company as dividends to its equity shareholders (Refer statement of changes in equity)

Analysis of items of OCI, net of tax:**Foreign currency translation reserve (FCTR):**

These financial statements are presented in Indian rupees (INR), which is also the parent Company's functional currency. The assets and liabilities are translated into INR at the rate of exchange prevailing at the reporting date and their statements of profit or loss are translated at exchange rates prevailing at the dates of the transactions. For practical reasons, the Company uses an average rate to translate income and expense items, if the average rate approximates the exchange rates at the dates of the transactions. The exchange differences arising on translation are recognised in Other Comprehensive Income (OCI). (Refer statement of changes in equity).

Particulars	March 31, 2024	March 31, 2023
Securities Premium	5,645.09	5,645.09
Employee Stock Option Outstanding	45.92	45.92
Retained earnings	1,709.84	1,119.95
Foreign currency translation reserve	1,219.12	1,099.62
Total	8,619.97	7,910.58

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

8. Financial liabilities**8A. Current borrowings (Unsecured)**

Particulars	March 31, 2024	March 31, 2023
Loan from bank/ financial institutions	250.15	246.34
Total	250.15	246.34

Note:

- i) Under a line of credit agreement (the “agreement”) with a bank, the Company has available facility of USD 4,000,000 out of which 3,000,000 is withdrawn.
ii) The interest rate as per the agreement was stipulated at 1.05% plus the applicable reference rate per annum - 5.92% to 6.40% (March 31, 2023 - 3.00%)
iii) The loan is repayable on earlier of June 30, 2024 or on demand.
iv) The Company has not defaulted on payment of principal and interest thereon on the above loan.
v) Refer to note 25 for liquidity risk and interest rate risk.

8A. Trade payables

Particulars	March 31, 2024	March 31, 2023
Trade payables (refer below)	5,569.04	3,518.34
Total	5,569.04	3,518.34

The Company's exposure to currency and liquidity risks related to trade payables is disclosed in Note 25.

Refer note 22 for trade payables to related parties.

Ageing Schedule for Trade payables as below:**As on March 31, 2024**

Particulars	Outstanding for following periods from due date of payment				
	less than 1 year	1-2 Years	2-3 Years	More than 3 years	Total
i) MSME	-	-	-	-	-
ii) Others	5,563.62	-	-	5.42	5,569.04
iii) Disputed dues-MSME	-	-	-	-	-
iv) Disputed dues-others	-	-	-	-	-

As on March 31, 2023

Particulars	Outstanding for following periods from due date of payment				
	less than 1 year	1-2 Years	2-3 Years	More than 3 years	Total
i) MSME	-	-	-	-	-
ii) Others	3,512.75	0.25	-	5.34	3,518.34
iii) Disputed dues-MSME	-	-	-	-	-
iv) Disputed dues-others	-	-	-	-	-

8B. Other financial liabilities

Particulars	March 31, 2024	March 31, 2023
Salaries & bonus payable	227.27	171.57
Total	227.27	171.57

9. Other current liabilities

Payroll taxes	3.74	3.56
Total	3.74	3.56

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

10. Revenue from operations

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Sale of products	16,191.27	11,194.00
Other operating revenue	12.49	12.59
Total	16,203.76	11,206.59

The operations of the Company are limited to one segment viz. pharmaceuticals products. Revenue from contract with customers is from sale of manufactured goods. Sale of goods are made at a point in time and revenue is recognised upon satisfaction of the performance obligations which is typically upon dispatch / delivery.

The Company has a credit evaluation policy based on which the credit limits for the trade receivables are established. There is no significant financing component as the credit period provided by the Company is not significant.

Variable components such as chargebacks, rebates, discounts, returns and other related charges continues to be recognised as deductions from revenue in compliance with Ind AS 115.

Details of contract balances:

Particulars	March 31, 2024	March 31, 2023
Trade receivables (refer note 4B)	1,455.26	645.17

11. Other income

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Interest income	0.01	3.98
Gain on sale of property, plant & equipment	-	0.12
Miscellaneous income	3.42	-
Total	3.43	4.10

12. Cost of materials consumed

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Inventory at the beginning of the year	1,078.44	559.11
Add: Purchases	12,008.62	8,617.14
	13,087.06	9,176.24
Less: Inventory at the end of the year	(944.40)	(1,078.44)
Total	12,142.66	8,097.80

13. Changes in inventory of work-in-progress and finished goods

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Inventories at the end of the year		
Finished goods	5,623.74	3,464.83
Work-in-progress	301.53	561.16
	5,925.27	4,025.99
Inventories at the beginning of the year		
Finished goods	3,464.83	2,859.59
Work-in-progress	561.16	508.68
	4,025.99	3,368.27
Total	(1,899.28)	(657.72)

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

14. Employee benefit expenses

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Salaries, wages and bonus	1,475.49	1,140.05
Staff welfare expenses	21.38	14.86
Employee stock option scheme	-	0.99
Total	1,496.87	1,155.90

15. Depreciation and amortisation

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Depreciation	188.42	115.42
Amortisation	308.58	279.93
Total	497.00	395.35

16. Finance costs

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Interest expense		
- Working capital	15.78	7.80
Other borrowing costs	211.75	148.62
Bank charges	2.07	3.22
Total	229.60	159.64

17. Other expenses

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Carriage outwards and clearing charges	803.88	544.22
Research and development expenses*	657.16	250.26
Conversion charges	275.20	145.15
Repairs and maintenance:		
- Plant and machinery	167.29	140.50
- Buildings	6.71	1.27
- Office maintenance	7.98	6.47
- Others	28.68	25.00
Consultancy charges	229.76	169.20
Insurance	113.97	88.90
Consumables and lab chemicals	125.93	109.52
Commercial Expenses	240.50	140.91
Rates and taxes	73.62	76.97
Power and fuel	63.81	65.58
Effluent treatment expenses	22.69	15.18
Membership & Subscription expenses	29.29	9.48
Travelling and conveyance	28.79	16.71
Communication expenses	10.12	10.06
Business promotion expense	15.21	15.23
Printing and stationery	4.03	2.46
Donations	-	0.19
Remuneration to auditors	2.59	2.01
Miscellaneous expenses	49.45	0.58
Total	2,956.66	1,835.84

*** Details of research and development expenses incurred during the year is given below:**

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Capital	-	-
Revenue (included above)		
Cost of materials consumed	96.75	17.00
Employee benefit expenses	315.28	156.94
Other expenses		
- Analytical fees	12.97	37.21
- Rates and taxes	61.73	18.16
- Other research and development expenses	170.43	20.95
Total	657.16	250.26

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

18. Tax expense**18A Income tax expense:**

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Current Tax:		
In respect of current year	134.73	21.21
In respect of prior years	1.10	19.37
Total current tax	135.83	40.58
Deferred Tax:		
In respect of current year origination and reversal of temporary differences	(339.28)	(1.02)
Utilization of prior year tax loss used to reduce deferred tax expense	216.66	40.88
Reversal of deferred tax assets	-	0.14
Change in tax credits	180.58	(8.22)
Total deferred tax expense	57.96	31.78
Total tax expense recognised in statement of profit & loss account	193.79	72.36

18B Reconciliation of income tax expense and the accounting profit multiplied by Company's domestic tax rate:

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Profit before tax	783.68	223.88
Income tax expense calculated at 21%	164.57	48.27
Effect of expenses that is non-deductible in determining taxable profit	0.37	(0.67)
Effect of tax incentives and concessions (research and development and other allowances)	-	(8.49)
Changes in estimates related to prior years	16.75	(7.28)
Reversal of deferred tax assets	-	0.14
State taxes	11.00	21.01
Adjustments recognised in the current year in relation to the current tax of prior years	1.10	19.37
Income tax expense recognised in statement of profit and loss	193.79	72.36

The tax rate used for March 31, 2024 reconciliation above is the corporate federal tax rate of 21% payable by corporate entities in United States on taxable profits under US Tax Laws.

Granules Pharmaceuticals Inc.
Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

18C Movement in deferred tax balances for the year ended March 31, 2024

Particulars	As at April 01, 2023	Recognised in profit and Loss	Accumulated CTA	As at March 31, 2024
Tax effect of items constituting deferred tax liabilities				
Property, Plant and Equipment	(283.05)	(12.07)	(4.26)	(299.38)
Intangible Assets	(533.68)	76.99	(7.82)	(464.51)
	(816.72)	64.92	(12.08)	(763.88)
Tax effect of items constituting deferred tax assets				
Employee Benefits	29.96	9.60	0.47	40.03
Provisions	63.64	71.56	1.10	136.30
Research and development credit	178.30	(180.60)	2.30	(0.00)
Carryforward Tax Loss	213.90	(216.64)	2.74	0.00
Charitable contribution carryforward	0.33	(0.33)	-	(0.00)
IRC 174 Cost	47.90	113.71	0.95	162.56
Inventory - UNICAP 263A	31.02	79.82	0.63	111.47
	565.04	(122.88)	8.19	450.35
Net Deferred tax liabilities	(251.68)	(57.96)	(3.89)	(313.53)

18C Movement in deferred tax balances for the year ended March 31, 2023

Particulars	As at April 01, 2022	Recognised in profit and Loss	Accumulated CTA	As at March 31, 2023
Tax effect of items constituting deferred tax liabilities				
Property, Plant and Equipment	(126.81)	(136.44)	(19.80)	(283.05)
Intangible Assets	(561.32)	68.83	(41.18)	(533.68)
	(688.14)	(67.61)	(60.98)	(816.72)
Tax effect of items constituting deferred tax assets				
Employee Benefits	31.04	(3.39)	2.30	29.96
Provisions	41.81	17.21	4.61	63.64
Research and development credit	156.69	8.22	13.39	178.30
Carryforward Tax Loss	238.12	(40.88)	16.66	213.90
Charitable contribution carryforward	0.15	0.16	0.02	0.33
IRC 174 Cost	-	44.81	3.10	47.90
Inventory - UNICAP 263A	19.08	9.71	2.23	31.02
	486.89	35.83	42.32	565.04
Net Deferred tax liabilities	(201.24)	(31.78)	(18.66)	(251.68)

19. Components of other comprehensive income (OCI)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Gain arising on translation of foreign operations	(119.50)	(593.83)
Total	(119.50)	(593.83)

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

20. Earning per equity share

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Profit for the year	589.89	151.52
Weighted average number of shares for computing of basic EPS	4,180.00	4,180.00
Add: Effect of dilution		
Effect of dilution on account of Employee Stock Options granted	82.00	82.00
Weighted average number of shares for computing diluted EPS	4,262.00	4,262.00
Earnings per share		
- Basic (in INR)	1,41,122.01	36,248.80
- Diluted (in INR)	1,38,406.85	35,551.38

21. Contingent liabilities and commitments

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
(i) Contingent liabilities:		
Claims against the Company not acknowledged as debts	Nil	Nil

The Company has a process whereby periodically all long-term contracts are assessed for material foreseeable losses. At the year end, the Company has reviewed and ensured that there are no material foreseeable losses on such long term contracts which needs to be provided for in the books of account.

(ii) Commitments

Estimated amount of contracts remaining to be executed on capital account and not provided for, net of	82.08	62.10
--	-------	-------

Open litigations as of March 31, 2024:

1. During the year 2019-20, the Company received a class action suit from a plaintiff stating that one of the products of the Company – Metformin had a carcinogenic element. However, the USFDA obtained test results from the Company and issued a clean report. As of March 31, 2024, the litigation is active. The legal attorney is unable to state that an outcome unfavorable to the Company is either probable or remote, nor they are in a position to provide an estimate of the amount or range of potential loss in the event of an unfavorable outcome.

2. This breach of contract matter arises out of a March 13, 2019 construction agreement between plaintiff, Tri Window Guys, LLC (“TWG”) and Granules Pharmaceuticals Inc. (“GPI”). TWG has also set forth tortious interference and fraudulent inducement claims. Defendants, GPI, Karthikeyan Kumarasamy and Vijay Ramanavarapu, have answered Plaintiff's first amended complaint, filed counterclaims and filed a third party complaint. Defendants have propounded written discovery demands upon TWG, which are not yet due. GPI Management is aggressively defending this action and as indicated above has filed both counterclaims and third party claims relative to the contract and construction at issue.

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

22. Related party disclosures**i) List of related parties and relationship:**

Name of the related party	Relationship
Granules India Limited	Holding Company
Granules USA, Inc.	Subsidiary of the Holding Company
Granules Europe Limited	Subsidiary of the Holding Company

Key managerial personnel:

Dr. Krishna Prasad Chigurupati	Chairman
Ms. Priyanka Chigurupati	Director
Mr. Vijay Ramanavarapu	Director
Mr. Kamal mandan (from December 18, 2023)	Director and Chief Financial Officer
Mr. Arun Sawhney (from December 18, 2023)	Director

ii) Transactions during the year:

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
a) Holding Company & its related parties		
<u>i) Granules India Limited</u>		
Purchase of goods	9,657.18	6,413.62
Reimbursement of expenses	10.22	4.00
Recovery of expenses	89.46	18.80
Service provided/Sale of Goods	204.71	11.79
<u>ii) Granules USA, Inc.</u>		
Purchase of goods	387.37	163.30
Reimbursement of expenses	129.12	3.99
Recovery of expenses	47.99	12.12
Sale of goods	31.71	17.21
Short term advance given	149.71	-
Short term advance received	149.71	-
<u>ii) Granules Europe Limited.</u>		
Reimbursement of expenses	10.56	22.53
c) Transactions with key managerial personnel or their relatives		
<u>i) Ms.Priyanka Chigurupati</u>		
Remuneration paid including Bonus	27.54	20.13
<u>ii) Mr. Kamal Mandan</u>		
Remuneration paid including Bonus	42.35	-

iii) Closing balance:

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
a) Holding Company & its related parties		
<u>i) Granules India Limited</u>		
Trade Payables	4,970.35	3,344.76
Other payables	10.24	0.69
Trade receivables	82.66	-
Other receivables	119.07	19.64
Corporate guarentee received	-	344.87
<u>ii) Granules USA, Inc.</u>		
Trade Payables	180.81	22.63
Trade Receivables	49.85	-

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

23. Share based payments**Granules Pharmaceuticals Inc. 2018 Equity Compensation Plan (GPI 2018 ESOP Scheme)**

Pursuant to the decision of the shareholders at their meeting held on May 24, 2018, the Company has formulated a Granules Pharmaceuticals Inc. 2018 Equity Compensation Plan (GPI 2018 ESOP Scheme) to be administered by the Board of Directors. Under the Plan, options not exceeding 10% of issued capital have been reserved to be issued to the eligible directors and employees with each option conferring a right upon the Optionee to apply for one equity share. The Exercise Price per Option shall be not less than 100% of the Fair Market Value of the Share available on the date of the grant. The options granted under the Plan shall start vesting in four equal tranches after one year from the date of grant, over a four year period.

The Black-Scholes-Merton model includes assumptions regarding dividend yields, expected volatility, expected terms and risk free interest rates. In respect of exercise price of options granted, the expected term of an option (or "option life") is estimated based on the vesting term, contractual term, as well as expected exercise behavior of the employees receiving the option. In respect of fair market value of the options granted, the option life is estimated based on the simplified method. Expected volatility of the option is based on historical volatility, of the observed market prices of the Company's publicly traded equity shares. Dividend yield of the options is based on recent dividend activity. Risk-free interest rates are based on the government securities yield in effect at the time of the grant. These assumptions reflect management's best estimates, but these assumptions involve inherent market uncertainties based on market conditions generally outside of the Company's control.

The details of activity under the Scheme are summarised below :

	For the year ended March 31, 2024			
	No of options	Exercise price per option (in USD)	Weighted Average exercise price per option (in USD)	Weighted Average remaining useful life (months)
Options outstanding at the beginning of the year	82	19,149.26	19,149.26	39
Add : Granted during the year	-	-	-	-
Less: Exercised during the year	-	-	-	-
Less: Lapsed/Cancelled during the year	-	-	-	-
At the end of the year	82	19,149.26	19,149.26	27
Exercisable at the end of the year	82	19,149.26	19,149.26	27

	For the year ended March 31, 2023			
	No of options	Exercise price per option (in USD)	Weighted Average exercise price per option (in USD)	Weighted Average remaining useful life (months)
Options outstanding at the beginning of the year	82	19,149.26	19,149.26	51
Add : Granted during the year	-	-	-	-
Less: Exercised during the year	-	-	-	-
Less: Lapsed/Cancelled during the year	-	-	-	-
At the end of the year	82	19,149.26	19,149.26	39
Exercisable at the end of the year	82	19,149.26	19,149.26	39

The Black Scholes valuation model has been used for computing the weighted average fair value considering the following inputs:

	Assumptions
Date of Grant	May 07, 2018
Dividend yield	0.00%
Expected volatility	33.00%
Risk-free interest rate	2.73%
Weighted average share price (USD)	19,210.00
Exercise price (USD)	19,149.26
Expected life of options granted in years	5.25

The estimated fair value of stock options is charged to profit or loss account:

	For the year ended March 31, 2024	For the year ended March 31, 2023
Employee stock option scheme (in INR)	0.00	0.99

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

24. Fair values

The management assessed that loans, cash and cash equivalents, borrowings, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

Fair valuation measurement hierarchy

The following table shows the carrying amounts and fair values of financial assets and liabilities including their levels of fair value hierarchy:

As at March 31, 2024:

Particulars	Carrying amount				Fair Value		
	Mandatorily at fair value through profit and loss (FVTPL)	Fair value through other comprehensive income (FVOCI)	Assets/ liabilities at amortised cost method	Total carrying amount	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
i) Financial assets							
a) Financial assets not measured at fair value							
Non-current investments	-	-	206.84	206.84	-	206.84	-
Trade receivables	-	-	1,455.26	1,455.26	-	-	-
Cash and cash equivalents	-	-	1,031.53	1,031.53	-	-	-
Other current financial assets	-	-	11.59	11.59	-	-	-
	-	-	2,705.22	2,705.22	-	206.84	-
ii) Financial liabilities							
a) Financial liabilities not measured at fair value							
Current borrowings	-	-	250.15	250.15	-	-	-
Trade payables	-	-	5,569.04	5,569.04	-	-	-
Other current financial liabilities	-	-	227.27	227.27	-	-	-
	-	-	6,046.45	6,046.45	-	-	-

As at March 31, 2023:

Particulars	Carrying amount				Fair Value		
	Mandatorily at fair value through profit and loss (FVTPL)	Fair value through other comprehensive income (FVOCI)	Assets/ liabilities at amortised cost method	Total carrying amount	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
i) Financial assets							
a) Financial assets not measured at fair value							
Non-current investments	-	-	203.79	203.79	-	203.79	-
Trade receivables	-	-	645.17	645.17	-	-	-
Cash and cash equivalents	-	-	773.63	773.63	-	-	-
Other current financial assets	-	-	60.14	60.14	-	-	-
	-	-	1,682.72	1,682.72	-	203.79	-
ii) Financial liabilities							
a) Financial liabilities not measured at fair value							
Current borrowings	-	-	246.34	246.34	-	-	-
Trade payables	-	-	3,518.34	3,518.34	-	-	-
Other current financial liabilities	-	-	171.57	171.57	-	-	-
	-	-	3,936.24	3,936.24	-	-	-

Granules Pharmaceuticals Inc.**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees millions except share data and unless otherwise stated)

25. Financial risk management**Framework**

The Company is exposed primarily to Credit Risk, Liquidity Risk and Market risk (fluctuations in foreign currency exchange rates and interest rate), which may adversely impact the fair value of its financial instruments. The Company assesses the unpredictability of the financial environment and seeks to mitigate potential adverse effects on the financial performance of the Company.

Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analyzing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Financial instruments that are subject to concentrations of credit risk principally consist of trade receivables, investments, cash and cash equivalents, bank deposits, loans given and other financial assets. None of the financial instruments of the Company result in material concentration of credit risk, except for trade receivables.

Ind AS requires expected credit losses to be measured through a loss allowance. The Company assesses at each date of statements of financial position whether a financial asset or a group of financial assets is impaired. Expected credit losses are measured at an amount equal to the 12 month expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

Before accepting any new customer, the Company uses an external/internal credit scoring system to assess the potential customer's credit quality and defines credit limits of customer. Limits and scoring attributed to customers are reviewed at periodic intervals. The expected credit loss allowance is based on the ageing of the days the receivables are due and the rates as given in the provision matrix.

Exposure to credit risk:

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk as at March 31, 2024 is INR 1,455.26 Millions (March 31, 2023 - INR 645.17 millions), being the total of the carrying amount of balances with trade receivables, Investments and other financial assets.

Liquidity Risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities.

The table below provides details regarding the undiscounted contractual maturities of significant financial liabilities as of March 31, 2024:

Particulars	Carrying value	Less than 1 year	1-2 years	2-5 years	5-8 years	Total
Current borrowings	250.15	250.15	-	-	-	250.15
Trade payables	5,569.04	5,569.04	-	-	-	5,569.04
Other financial liabilities	227.27	227.27	-	-	-	227.27

The table below provides details regarding the undiscounted contractual maturities of significant financial liabilities as of March 31, 2023:

Particulars	Carrying value	Less than 1 year	1-2 years	2-5 years	5-8 years	Total
Current borrowings	246.34	246.34	-	-	-	246.34
Trade payables	3,518.34	3,518.34	-	-	-	3,518.34
Other financial liabilities	171.57	171.57	-	-	-	171.57

Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Company's exposure to market risk is primarily on account of foreign currency exchange rate risk.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of change in market interest rates. As the Company's debt obligation with fixed interest rates is subject to insignificant change, exposure to the risk of changes in market interest rates are substantially independent of changes in market interest rates.

Foreign Currency exchange rate risk

The Company predominantly deals in US Dollars which is the currency of the country in which it is domiciled. Hence, fluctuation in foreign currency exchange rates has no potential impact on the statement of profit and loss and other comprehensive income and equity, considering the countries and economic environment in which the Company operates.

26. Segment reporting

The Company is engaged in the manufacture and in-house research and development of Pharmaceuticals, which in the context of Ind AS 108 is considered only business segment:

	As at March 31, 2024			As at March 31, 2023		
	Domiciled Country	Other than Domiciled Country	Total	Domiciled Country	Other than Domiciled Country	Total
Revenue	15,999.05	204.71	16,203.76	11,206.59	-	11,206.59
Non-current assets	5,038.53	-	5,038.53	5,259.10	-	5,259.10

Note:

i) Non-current assets for this purpose consist of property, plant and equipment, capital work in progress, intangible assets, intangible assets under development and other non-current assets.